

Germany: Factory Orders and Industrial Turnover Show Robust Increase in May

BOTTOM LINE: Today's manufacturing data for May were solid. Manufacturing orders increased by +1.9%mom in May, above consensus expectations (+1.1%), partially reversing the decline in April, and were down -0.3% on a less volatile 3m3m basis. Manufacturing orders excluding major orders increased slightly less strongly by +1.0%mom, but are up +4.1% on a 3m3m basis. Driven by stronger foreign turnover, industrial turnover increased by +1.8%mom in May, somewhat more modestly than the preliminary estimate of +2.7% suggested, and is up +1.1% on a 3m3m basis. As a result of the better than expected turnover data, we expect tomorrow's industrial production data to show a +0.5%mom increase in May on the back of robust manufacturing production.

KEY NUMBERS:

Manufacturing Orders (May): +1.9%, Consensus: +1.1%, Previous: -3.2%, revised up from -3.8% (all figures mom, non-annualised)

Manufacturing Turnover (May): +1.8%, Preliminary Estimate: +2.7%, Previous: +0.1%, unrevised from +0.1% (all figures mom, non-annualised)

MAIN POINTS:

1. German manufacturing orders increased by +1.9%mom in May, an upside surprise to consensus expectations (+1.1%). Manufacturing orders excluding major orders likewise increased, although slightly less strongly, by +1.0%mom. On the less volatile 3m3m sequential basis, orders were down by -0.3%. Orders excluding major orders were up +4.1% on a 3m3m basis. Other transport equipment (which contains aircraft and major defence goods) boosted order intake (+85.0%mom), as did electrical equipment (+3.7%) and machinery and equipment (+3.7%), rebounding from a weaker April. Orders in vehicle manufacturing continued to decline (-3.8%).
2. Industrial turnover increased by +1.8%mom in May, less than the preliminary estimate of +2.7% suggested, reaching the highest level since February 2024. On a 3m3m sequential basis, turnover increased by +1.1%. Across sectors, basic metals (+7.1%), computers and electronics (+4.6%) and chemicals (+3.6%, reaching the highest level since 2022) contributed most positively, with the important motor vehicles manufacturing sector (+3.1%) also expanding robustly. Overall, 66% of sectors (weighted) saw an increase in turnover in May on a mom basis, and 66% on a 3m3m basis, indicating a relatively broad sales expansion.
3. Across markets, the Euro Area performed strongest, with orders and sales increasing strongly, rebounding from a weak April. Non-Euro Area orders were somewhat weaker but sales continued to increase. Domestic orders, which are most

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affected by volatile domestic defence orders, stabilised, but were weaker on a 3m3m basis due to base effects from a strong end to 2025. This confirms the trend since late last year, with Euro Area demand leading the way while domestic demand lags behind.

4. Taken together, today's orders data indicate a stabilisation of forward-looking indicators and strong spot activity in Q2. Real turnover currently stands 1.3% above the Q1 average. Furthermore, turnover data in May were better than we expected (as we had marked down the exceptionally strong preliminary data), indicating robust manufacturing IP growth of +1.2%mom in May, with data to be released tomorrow. We expect industrial production growth at +0.5% in May, above consensus, as robust growth in manufacturing should be balanced by broadly flat energy and declining construction production.

5. We will update our GDP tracking estimate in our regular Euro area data update later this morning.

Niklas Garnadt

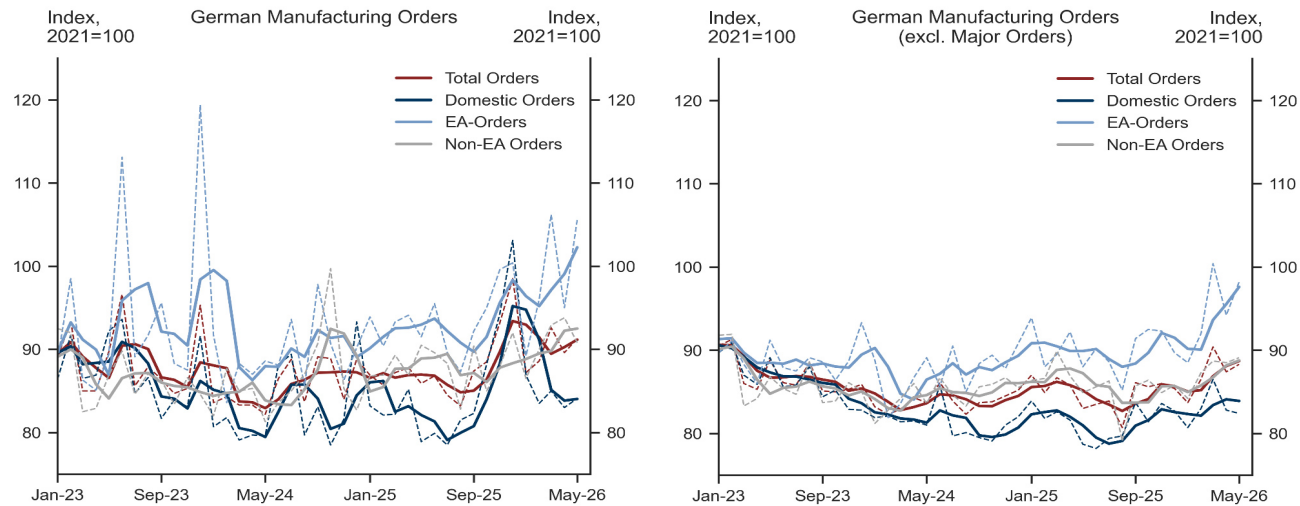
Giovanni Pierdomenico

Exhibit 1: German Manufacturing Orders and Sales - Overview

		Level (2021=100)			MoM			3m3m		
		2026-02	2026-03	2026-04	2026-02	2026-03	2026-04	2026-02	2026-03	2026-04
Orders	Total	92.6	89.6	91.3	4.5%	-3.2%	1.9%	-4.2%	-2.9%	-0.3%
	Domestic	85	83	84.1	1.8%	-2.4%	1.3%	-10.6%	-11.5%	-7.8%
	EA	106.2	95	105.6	10.6%	-10.5%	11.2%	-1.2%	2.8%	7.4%
	Non-EA	92.9	93.8	90.8	3.2%	1.0%	-3.2%	1.7%	3.8%	3.4%
Orders ex major Orders	Total	90.4	87.4	88.3	4.5%	-3.3%	1.0%	1.4%	3.6%	4.1%
	Domestic	86.5	82.8	82.4	4.2%	-4.3%	-0.5%	1.0%	2.1%	2.2%
	EA	100.4	94.2	98.2	9.1%	-6.2%	4.2%	2.3%	6.0%	8.4%
	Non-EA	88.7	88.5	89.1	1.6%	-0.2%	0.7%	1.2%	3.8%	3.5%
Turnover	Total	95.5	95.6	97.3	1.1%	0.1%	1.8%	0.7%	-0.1%	1.1%
	Domestic	91.3	92	91.5	0.3%	0.8%	-0.5%	0.1%	-0.8%	-0.2%
	EA	106	103.7	109.6	3.6%	-2.2%	5.7%	1.9%	2.2%	4.2%
	Non-EA	95.6	96.4	98.7	0.2%	0.8%	2.4%	1.1%	-0.5%	1.0%

Source: Haver Analytics, Goldman Sachs Global Investment Research

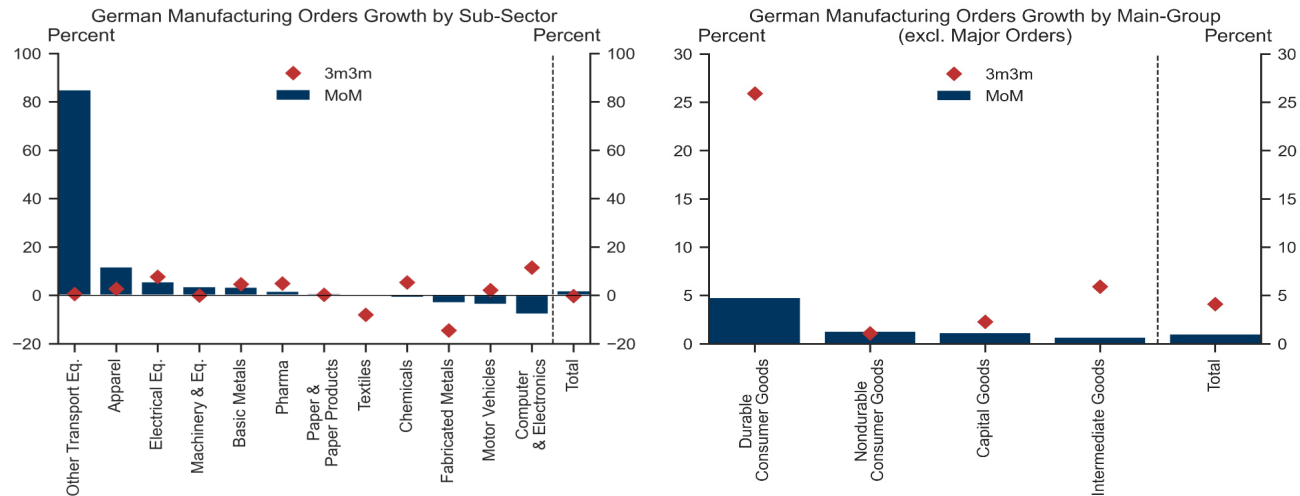
Exhibit 2: German Manufacturing Orders by Destination



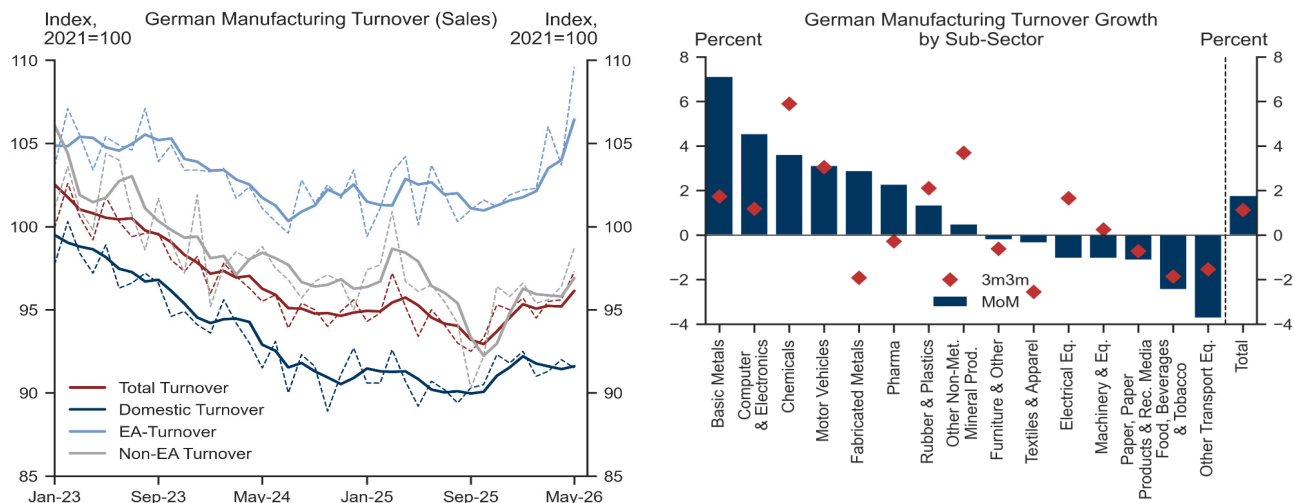
Monthly series in dashed, 3 month moving average in bold.

Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 3: German Manufacturing Orders by Sub-Sector

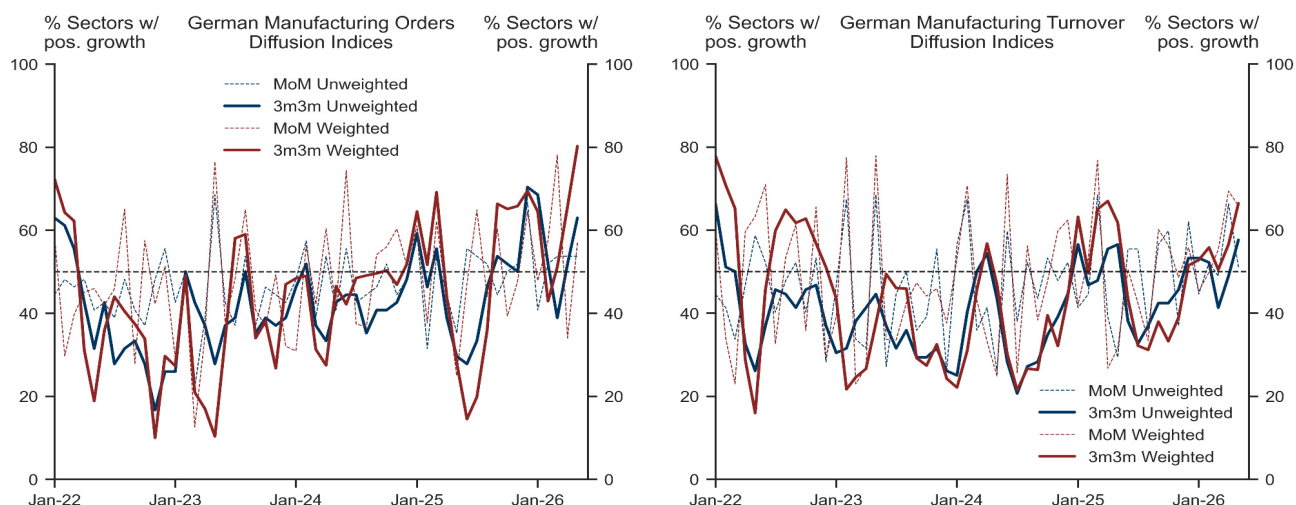


Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 4: German Manufacturing Turnover (Sales)

Monthly series in dashed, 3 month moving average in bold.

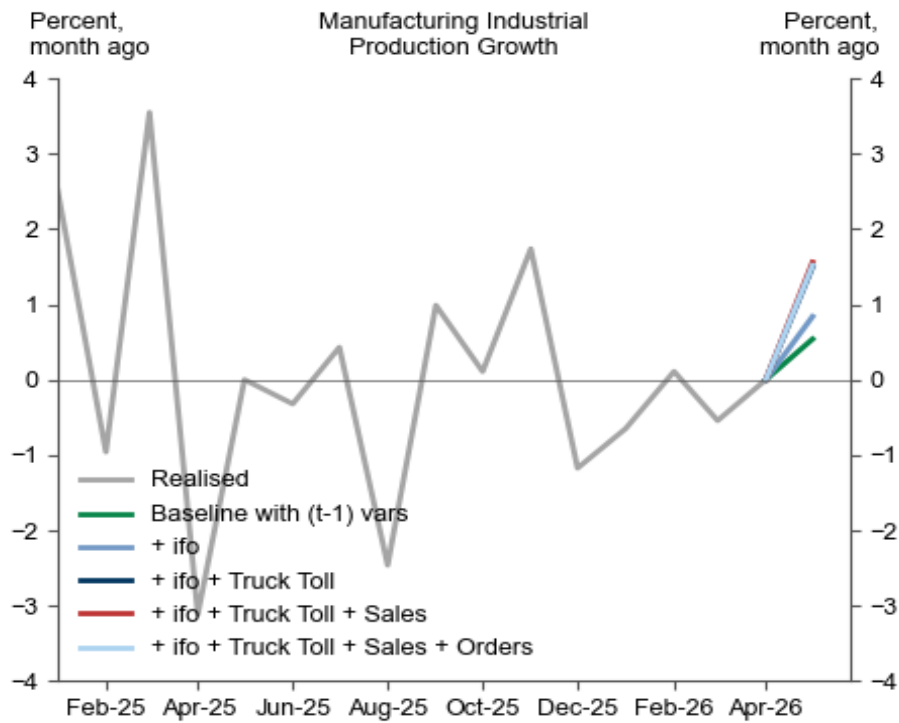
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 5: Orders and Sales Diffusion Indices

Monthly series in dashed, 3 month moving average in bold

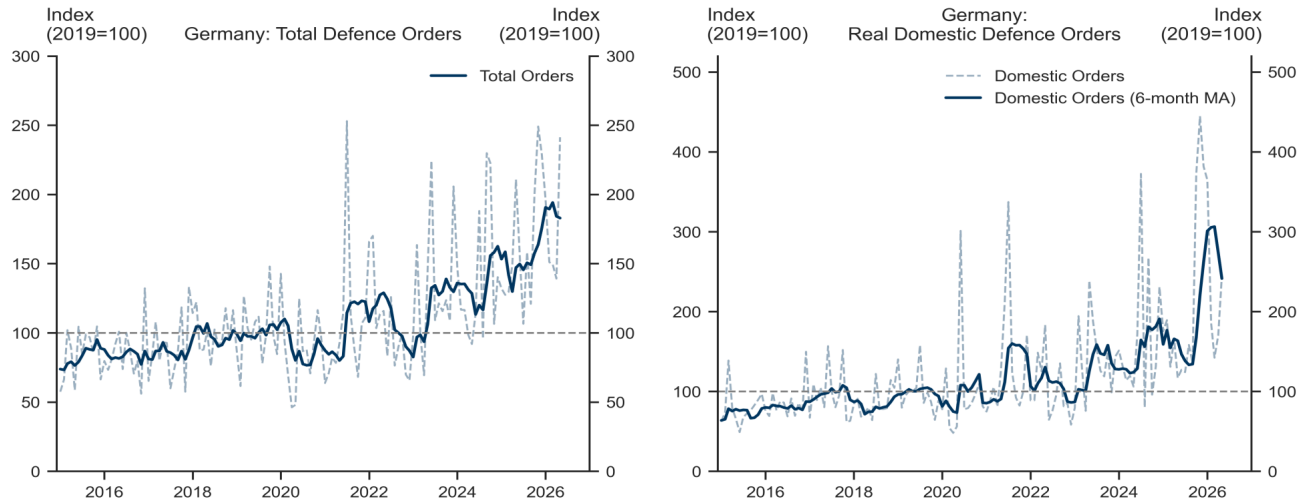
Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 6: We Expect Robust Manufacturing IP Growth After Today’s Strong Manufacturing Sales



Source: Destatis, Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 7: Sectoral Spotlight on Defence



Monthly series in dashed, 6-month moving average in bold. We proxy defence using a weighted average of the other transport equipment and weapons & ammunition sectors.

Source: Haver Analytics, Goldman Sachs Global Investment Research

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